2024 GOAL SETTING

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New Year's Resolutions are always a hot debate. The constant push-pull of wanting to change, but knowing that most people fall back into old habits within three weeks. How can we set ourselves apart and follow through on our plans? It is said that we overestimate what we can do in one year, but underestimate what we can do in ten. When we set goals for ourselves, and don't enforce them with the uptake of new healthy habits it is easy to quickly get sucked back into the bog of our day to day lives and wake up months later with nothing changing. On the other side of this, humans enjoy fresh starts, the ability to start over, the promise of something new. We shouldn't shy away from that aspect of human nature, rather, we should lean into it with every day an opportunity to refocus and recommit to our goals. One way we can do this is by focusing not on our lofty goals, but on the day to day practices that will help us achieve them. When it comes to trading, and business, it is better to think of forecasting and practices to improve the business, rather than lofty goals that resolutions tend to be.

When we treat our trading as a business, the new year is an opportunity to look back on the mistakes we made in our last fiscal year, cut the fat, and employ new tactics to improve our next fiscal year. Any actionable trade plan, business plan or forecasting must first take into account the performance of the prior year.

1. Review

In any trade review, there are several aspects to note, and a yearly review is no different. Things to consider in a yearly review fall into three categories. The first category is strictly market and chart related, the second category our execution, and the third our emotional and mental state.

Market and Chart Review

The Overall Market Conditions

What were the trends? What patterns came into play? What did rotation look like? What were some of the strongest sectors? What did price action look like at major tops or bottoms?

The Sentiment

How did market sentiment, greed and fear play a role in the overall market conditions. Did we operate in extremes or within standard deviations? How did sentiment mark bottoms and tops, with AI, bank failures, crypto exchange failures, layoffs, sale numbers, geo-political events.

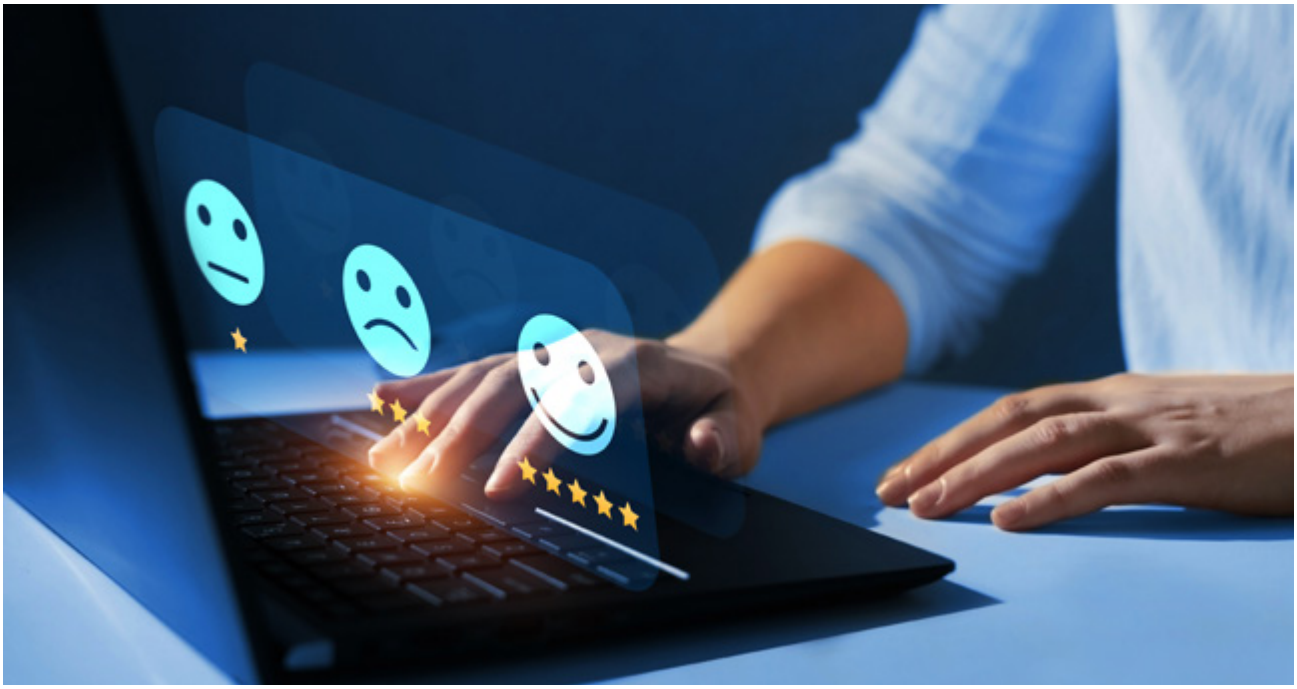
Market Structure

Despite extreme short term volatility, some markets on the longer time frames were quite sideways overall. How does the structure of the varying sectors look in the long term, what are some of the things we noticed during this period that can give insight to what scenarios we can watch for?

Macro-economics

Which economic events caused volatility? How has the introduction of faster options markets changed the nature of the market. What news events seemed to have caused general changes in behavior. How are the markets reacting when news is good vs when news is seemingly bad? How did the market respond to news of layoffs or earnings? What are some new hype sectors that investors seem to be hot on (AI, Uranium, and now Crypto once again into the end of year). What is the overall market breadth and what names tend to drive the market when it moves (both up and down).

When we review the markets, it is important to review it as neutral as possible. Do not judge yourself for what you could have done or should have seen coming. Simply observe, so that when you plan for this next year, you can notice the trends and have a plan to react accordingly for the coming year.



Execution Review

What types of trades were your best performing? What types were your worst? Did you stick to the plans you made entering the trades? Did you appropriately scale out or stop out? Did you refine your edge and approach throughout the year to optimize? Did you review and adjust to make things better as time went on? Once again, we do this with as little judgment as possible. The goal is to review so that we can make positive changes.

Mental State Review

In addition to our execution of strategy, we can look back at our mental state throughout the year and throughout our trades. What did you find mentally hard about this past year? Where did you struggle emotionally, or in trades, or in life? Did you have trouble with market conditions? Did you feel a lot of FOMO? Did you have trouble executing a trade when the time came? Or sticking with it according to your plan? Did you have trouble believing the markets, or understanding them? What did you do well? Did you enjoy a certain type of trade? Were you flexible in the market pricing? The list can go on, but isolating both the things we did well, the outside causes that had their effects on us, and the internal things we want to work on can help us focus for the next year in order to mitigate our weaknesses, and double down on our strengths.

2. Identify Goals

Now that we've done a review of the past year, we can start to formulate a list of goals for the next year.

When we initially reviewed the past year, we started with market conditions and then went deeper to our mental state because it's easier to look at the market conditions neutrally and then delve deeper.. When we look forward to our goals for the next year, we want to start with our mental state, and then once we move through those goals, clarifying our vision, we can then look at the market conditions with a clear and level head.

Look back to your mental state review. Just like in the markets, you'll probably find a pattern. One example would be trying to take too many trades and instead missing out. Another could be outside stress or problems affecting your ability to make price based trading decisions. Rather than look at each feeling, sort the feelings into categories, and see which one comes out as the biggest pattern - that will be the first priority to tackle. When we make resolutions, or goals, just like trades, it is very difficult to do each one well if we're trying to change too many things at once. By sorting and prioritizing our list, we can then push each goal into the next step one at a time, rather than trying to address them all at once.

Once you have your list of goals for your mental state, move on to your list for execution. Following the same process, identify your strengths and weaknesses, and start to sort your execution into categories.

Combine the patterns with the market conditions to see what trades are part of your edge.

Use your mental state evaluation to identify which trades you struggled more with, perhaps you had trouble holding to target because of lack of belief in the market, or because the macro-economic events didn't seem to match up with the trade.

Cross-examine the execution with the mental state and market conditions in order to come up with a list of what seemed to work better, and what seemed to force a trade to stall out.

Using these patterns, start to form a new list of goals for strategic execution in 2024. It is okay if this list is long, and it's okay if it's generic, we are identifying and listing to get ready for the next step.

Now for market conditions. We obviously can't see the future for market conditions, instead what we can do is identify what we noticed, what had impact, and create goals for how we can respond better to them, or learn to react quicker to changes. By identifying what was previously important, we can monitor how long it remains that way, and then quickly notice if it starts to change so that we can respond accordingly.

3. Narrow Focus

Once we've reviewed the market conditions, our execution and our mental state and identified our strengths, weaknesses and the patterns they fall into we now have a list of general goals we want to start improving upon for the upcoming year.

But it is not enough to have goals if we have no plan to make them better. How do we narrow focus? We become our 3 year old selves of course. If you've ever been around a 3-year old, you know they do one thing very well. And that is ask "WHY?". Not only do they ask it, but they ask it relentlessly until you uncover the black hole of knowledge you forgot you had, or have to research it until you find the answer, understand it and can explain it to them.

This is the level of relentlessness we should apply in making our plans to turn our goals into reality. This will look very different for everyone. For some it will mean focusing on our daily habits, sleep, health, nutrition and mindfulness practices. For others it will be redirecting attention to only select tickers/sectors, only playing one type of setup and practicing over and over again. For some it will lead to trading more, others trading less. Some will find they need to organize better, some will find they need to declutter to avoid analysis paralysis. Some will end up paying more attention to macro, and some far less attention. It will look very different for each trader. But ultimately the path is the same. Identify the goal, then relentlessly ask yourself how/why until you come up with the precise steps you need to achieve better results. The more specific you can get, the more likely you are to follow through.

Going through this process should have naturally prioritized for you the things to work on. If it hasn't, then the next step would be to decide which goal you want to tackle first. One thing not to do is decide to "get healthy" by changing your diet from never cooking to cooking three meals per day, while simultaneously adding in two hours of exercise each day and setting yourself up for long term burnout.

Take the most important goal. "Why/how" yourself until you have it as a daily actionable habit. If you're not sure of the best approach, ASK! There are many ways to achieve a goal, and you might not have thought about the best approach for you, if you get stuck, research and ask for help. For implementation of many goals, the rule is as follows: Once you've done that daily habit for a full month, only then do you start to add in the next goal. Slowly one by one, the gains will start to compound.

4. Log Data

One of the hardest things is to look at ourselves in the mirror and focus on how far we've come, instead of how far we still have to go. Simultaneously, it is also easy for months to pass and we have not made the changes we want, because we failed to compound the effects of our positive habits. We need data. We need to see that our positive habits have a positive effect over time, and if they don't, review and redirect. We also need to see how negative habits affect us, so that we can quickly curtail them. Either way, we need to see real data that gives us real and actionable feedback. It is far easier to lie to ourselves without proof, both positive and negative. On the positive side we can lie to ourselves that we still aren't nearly where we want to be, and ignore whatever progress we've made. On the negative side, we can lie to ourselves that we're acting as we want to, when the results show we are not. Neither of these are bad. We are not perfect beings and should give ourselves grace, both in striving for more and in forgiving our mistakes. But it is always easier to fix if we have data.

Conclusion

Trading is a business, and each year we should aim to increase profitability while mitigating overhead. By reviewing all aspects of the past year, we can start to formulate a plan for improving our bottom line for the next year. By reviewing the markets, our execution and our mental state, we can create patterns of behavior that will show us our main goals and priorities to focus on for the next year. We can then be relentless in asking ourselves the deep questions to create a specific and actionable plan for each goal and prioritize the order in which we'd like to implement them. Finally, we can give ourselves the grace to implement the actions of one goal, before adding to our plate the stress of having to do everything all at once, which is ironically what usually brings us to failure much quicker.

> **Take a breath, get excited, and let's get started!**

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